

Petersen Energia Inversora, S.A.U. and Others v The Republic of Argentina

[2026] EWHC 1492 (Comm); CL-2024-000129

High Court of Justice, Business and Property Courts of England & Wales, King's Bench Division,
Commercial Court

Jurisdiction

England & Wales

Area of law

Private international law; recognition and enforcement of foreign judgments; case management

Legal question

Whether the Commercial Court should grant a stay of the claim for recognition and enforcement of a United States District Court judgment that has been reversed by the United States Court of Appeals, or whether the claim should be dismissed immediately as unsustainable. Should the Court allow Argentina to amend its jurisdiction challenge to introduce a new ground based on the reversal of the underlying judgment?

Key facts

On 15 September 2023, the United States District Court for the Southern District of New York (Judge Preska) entered judgment in favour of the Claimants against Argentina for damages and interest exceeding US\$16 billion on breach of contract claims. On 27 March 2026, the United States Court of Appeals for the Second Circuit reversed Judge Preska's judgment on liability, with Judge Cabranes dissenting, and remanded the case to the District Court. On 4 March 2024, the Claimants issued a claim in the English Commercial Court for recognition and enforcement of Judge Preska's judgment. Argentina challenged the English Court's jurisdiction and sought a stay. In July 2025, the parties agreed undertakings whereby if Argentina's appeal was finally resolved overturning the decision on liability, the Claimants would consent to setting aside the recognition and enforcement claim. On 8 May 2026, the Claimants petitioned for a rehearing en banc, which was declined. The Second Circuit issued its mandate on 10 June 2026.

Holding

The Court ordered a stay of the claim for recognition and enforcement of Judge Preska's judgment rather than dismissing it or setting aside service. The Court allowed Argentina to amend its jurisdiction challenge to introduce a new ground based on the reversal of the underlying judgment (Ground A) but declined to determine that ground at the present time, leaving it within the scope of the stay. The Court reasoned that the available appeal process in the United States had not yet concluded, and the interests of justice favoured maintaining the status quo pending the outcome of potential further appeals. Following the approach in *Motorola Solutions Inc v Hytera Communications Corporation Ltd*, the Court held that it is preferable to use case management stays rather than repeatedly grant and revoke final judgments in response to the vicissitudes of foreign litigation. The Court found no serious prejudice to Argentina from the undecided recognition claim remaining on foot, and any prejudice to the Claimants from potentially having to restart proceedings

would be modest given the sums at issue.

Significance

This decision establishes that English courts will not immediately dismiss recognition and enforcement claims when an underlying foreign judgment is reversed on appeal if further appellate recourse remains available in the foreign jurisdiction. The judgment provides practical guidance on case management in the complex scenario where a foreign judgment is under appeal. It clarifies that even judgments against sovereigns and of very large magnitude do not necessarily warrant immediate dismissal of recognition claims pending final resolution of foreign appeals. The decision recognizes the utility of stays as an interim solution to avoid the inefficiency and confusion of repeatedly granting and revoking final English judgments in response to developments in foreign proceedings.

Precedent impact

The decision applies and extends the reasoning in *Motorola Solutions Inc v Hytera Communications Corporation Ltd* [2025] EWCA Civ 1667, which established that stays are the appropriate remedy in recognition and enforcement proceedings where foreign judgments are subject to ongoing appeal. The Court distinguished earlier authority on stays in case management (*Reichhold Norway ASA v Goldman Sachs International* and *Athena Capital Fund v Holy See*) as not addressing the specific context of recognizing and enforcing foreign judgments.

Full judgment URL

<https://www.bailii.org/ew/cases/EWHC/Comm/2026/1492.html>